Syllabus Edition
First teaching 2025
First exams 2027

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Business Impacts on the Environment

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Pollution

- Some **industrial processes generate pollutants,** including air and water emissions, hazardous waste and chemical byproducts
  - **The disposal** of these pollutants can harm ecosystems, wildlife and human health
  - For example, the **burning of fossil fuels** releases large amounts of **greenhouse gases** into the atmosphere
- Food and consumer goods manufacturers account for 60% of worldwide **greenhouse gas emissions**
- **Single-use plastics** are also a huge concern
  - They produce toxic chemicals when they break apart
  - This causes pollution and harms animals, such as marine turtles, who become entangled in plastic found in the sea

Depletion of resources

- Natural resources, such as **water, energy and raw materials,** are used in business operations
  - Excessive consumption of these resources can lead to their **depletion**
- Materials and products may be sourced from **environmentally sensitive** areas
  - Industries like logging, agriculture, and construction contribute to **deforestation** in locations such as South America

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Why businesses respond to environmental issues

- More businesses are taking action to reduce their environmental impact
- This is partly due to **growing public concern**
  - According to a 2023 UK survey, **over 80% of consumers** said they were more likely to buy from a company that takes sustainability seriously
- Governments are also introducing **stricter environmental laws**, and **pressure from stakeholders** like customers, employees and investors is increasing

Reasons to respond to environmental issues

Reason	Explanation
Improved reputation	• By taking action to reduce environmental harm, businesses can build a positive image • This improves their relationships with customers, the media and the wider community
Increased sales	• Selling eco-friendly products or using sustainable methods can attract new customers and increase customer loyalty
Legal requirements	• Businesses must follow these laws or face fines, legal action or forced closures
Pressure from stakeholders	• Customers, employees, investors, and pressure groups may demand that a business takes action on environmental issues • Responding to these concerns helps **maintain support and trust**
Cost savings	• Using less energy, reducing waste and recycling materials can lower operating costs in the long term
Competitive advantage	• Being more environmentally friendly than competitors can help a business stand out in the market • It may also allow them to **charge higher prices** for eco-friendly products

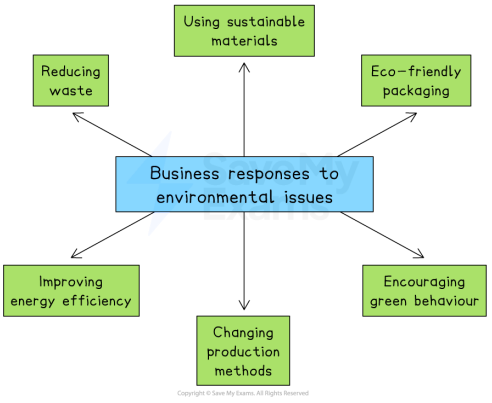
Help me understand

Examiner Tips and Tricks

Many students think environmental responsibility only increases costs. Remember, it can also be an opportunity—such as attracting eco-conscious customers or gaining a competitive edge. Examiners reward answers that recognise both challenges and benefits

How businesses respond to environmental issues

- With growing concern about climate change, pollution and resource use, many businesses are taking action to reduce their environmental impact
- These actions can help businesses save money, follow the law and build customer trust



Businesses may respond to environmental issues by reducing waste, using sustainable materials and eco-friendly packaging and encouraging green behaviour

Business responses to environmental issues

Reducing waste

- Businesses can reduce, reuse and recycle materials to cut down on landfill waste and pollution

Improving energy efficiency

- Installing energy-saving equipment, such as LED lighting or solar panels, helps reduce electricity use and lower carbon emissions

Using sustainable materials

Changing production methods

- Businesses may invest in cleaner technology or reduce harmful emissions during manufacturing to lower their overall environmental footprint

Eco-friendly packaging

- Using biodegradable or recyclable packaging helps reduce plastic waste and limits environmental harm

Encouraging green behaviour

- Businesses can promote eco-friendly habits, such as offering discounts for reusable bags or encouraging employees to cycle or walk to work

Case Study

Danone's Steps To Reduce Its Environmental impact

Danone, known for brands like Activia and Evian, has taken major steps to reduce its environmental impact, especially in food production and packaging

Actions

- It has committed to becoming **carbon neutral by 2050** and has already achieved carbon neutrality in several of its factories
- The company works with farmers to support **sustainable agriculture**, using fewer chemicals and protecting soil health
- It has invested heavily in **plant-based products**, such as dairy-free yoghurts and drinks, which generally have a lower environmental footprint than animal-based alternatives
- Danone is redesigning its packaging to use **100% recyclable, reusable** or **compostable materials** by 2025, with several water brands already using bottles made entirely from recycled plastic

Outcome

These actions help Danone meet **legal requirements**, reduce its **carbon footprint** and build a strong **reputation with environmentally aware consumers**

business activity and the environment

- Governments pass **environmental laws** to reduce damage caused by business activity. These laws affect:
  - **How** businesses produce
  - **What** they produce
  - **Where** they produce or sell
  - **The costs** of doing business

1. How businesses produce

- Legal controls may ban or restrict harmful production methods (e.g., limits on factory emissions, rules on waste disposal)
- Businesses may need to invest in cleaner technology, filters, or recycling systems
- **Impact:** Higher production costs, but safer working and living environments

2. What businesses produce

- Certain products may be banned if they harm the environment (e.g., plastic bags, toxic chemicals)
- Businesses may be forced to redesign or switch to sustainable alternatives
- **Impact:** Higher R&D costs, but opportunities to innovate and appeal to eco-conscious consumers

3. Where businesses produce or sell

- Firms may be prevented from locating near protected areas (e.g., national parks, residential zones)
- Laws may restrict selling in markets where environmental standards are not met (e.g., exporting to the EU with strict rules)
- **Impact:** Limits expansion but protects communities and ecosystems

4. Influence on costs

Area of Impact	Examples	Effect on business costs
Compliance costs	• Buying new equipment, paying for waste treatment	• Costs rise as businesses invest in cleaner processes
Fines and penalties	• Breaking pollution or dumping laws	• Non-compliance can be very expensive
Product redesign	• Replacing banned materials, eco-	• Increases R&D and production costs

Reputation & sales	• "Green" image improves customer loyalty	• Can increase sales and offset higher costs

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